THE MURIVEST VIEW

UK Commercial Real Estate Market Outlook Q4 2026

When rates turn: earning returns in UK real estate

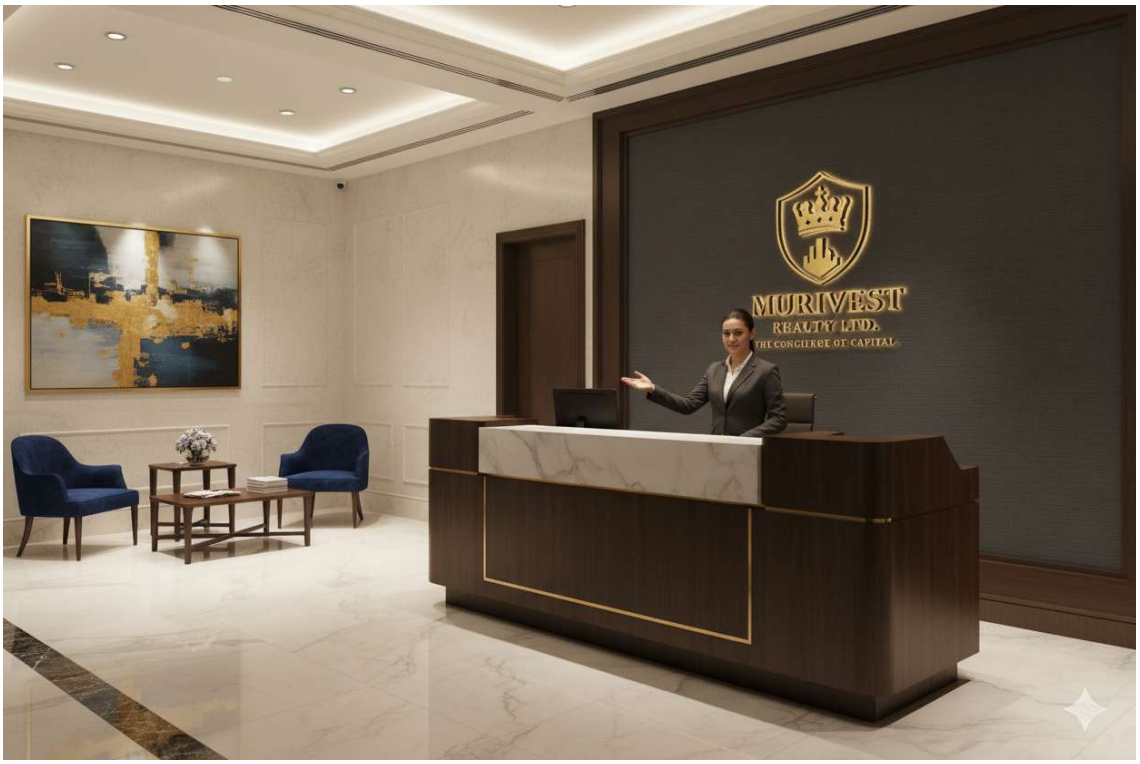
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MARKET OUTLOOK · Q4 2026

When Rates Turn: Earning Returns in UK Real Estate

Occupiers are resilient, capital is selective, and the cost of money has reset. In this cycle, returns have to come from the asset, not from waiting.

by **Mark Muriithi**, Managing Director, Murivest UK



IDEA IN BRIEF

THE PROBLEM

In January the market planned for falling rates. By November the Bank of England has raised Bank Rate to 4.00%, the 10-year gilt yield sits above 5%, and inflation is heading toward 5% by mid-2027.[1,2,3]

THE ARGUMENT

Occupier markets have not broken: Central London availability is at its lowest since 2020, and AI, defence and data-centre users are broadening demand.[7,1] Capital is still available but selective. Returns now depend on income, rental growth and scarcity, not yield compression.[1,6]

THE IMPLICATION

Underwrite at today's cost of capital, not at forecast cuts. Favour prime, power-secured and inflation-linked income. Treat forward funding and secondary regional offices as options, not core positions.



On 5 November the Bank of England raised Bank Rate to 4.00%, its first increase in more than three years.[2,3] Eight of the nine Monetary Policy Committee members voted for a quarter-point rise; the ninth wanted half a point.[2] Ten months earlier, CBRE's January

outlook had assumed the opposite: one more cut in Bank Rate, a 10-year gilt yield settling near 4.3%, and inflation trending toward 2%.[1]

That plan did not survive the Middle East conflict, now in its ninth month. Energy prices climbed again after the summer: front-month Brent futures averaged about $108 a barrel in the weeks to 27 October, roughly 70% above their pre-conflict level.[2] UK CPI inflation reached 3.5% in September, and the Bank expects it to rise to around 5% by the middle of 2027.[2] The 10-year gilt yield has recently traded between roughly 5.1% and 5.4%.[3] The country has also changed Prime Minister and, on 28 October, heard a first Budget from a new Chancellor, John Healey.[4]

Yet the occupier market has not broken. Central London take-up rose to 3.2 million sq ft in the third quarter, availability fell to its lowest level since 2020, and AI, defence and data-centre users are widening the tenant base.[7,1] That is the tension at the centre of this outlook. Tenants are behaving as if the economy is resilient; bond markets and lenders are pricing as if inflation is not yet beaten. Investors who reconcile the two, by underwriting at today's cost of capital and buying scarcity, will be paid for it. Those who keep waiting for the cycle to do the work may wait a long time.

When the cost of money stops falling, returns must be earned from the asset: its income, its rental growth and its scarcity.

1. The macro reset: what changed since August

CBRE's Midyear Review, published in August, is the best single snapshot of where the market stood before the latest leg of the energy shock.[1] Set against the data of recent weeks, most of its headline macro calls have moved (Exhibit 1).

EXHIBIT 1

The macro picture: forecast versus latest

Indicator	CBRE view (Jan / Aug 2026)	Latest (Nov 2026)	Direction
Bank Rate	Jan: one cut to 3.5%. Aug: unchanged for 2026.	4.00% after the 5 November hike; markets price further increases into 2027.[2,3]	**Higher**
CPI inflation	Jan: trending to 2%. Aug: peak c.3.5% in Q4.	3.5% in September; Bank of England central case around 5% by mid-2027.[2]	**Higher**

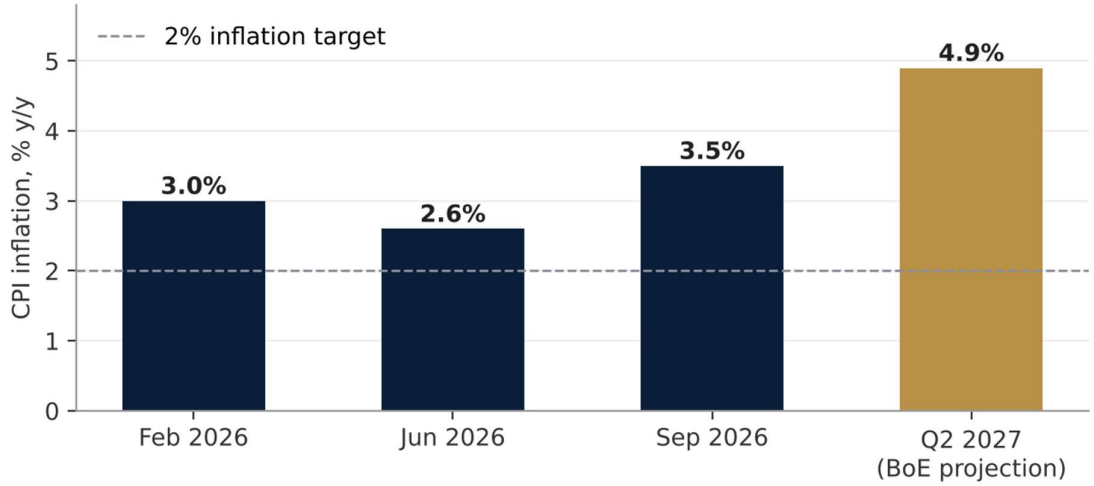
Indicator	CBRE view (Jan / Aug 2026)	Latest (Nov 2026)	Direction
10-year gilt yield	Jan: settle near 4.3%.	Roughly 5.1% to 5.4% in recent weeks; about 5.3% on Budget day.[3,4]	**Higher**
Unemployment	Aug: 5.7% by year-end.	4.7% in the three months to August; Bank projects 4.8% in Q4.[2]	**Better**
Growth	Jan: 1.2% for 2026.	GDP +0.5% in Q2 and an estimated +0.7% in Q3; OBR: 2026 upgraded to 1.2%, 2027 cut to 1.0%.[2,4]	**Mixed**

Sources: CBRE Research (Jan outlook and August Midyear Review); Bank of England Monetary Policy Report, November 2026; Trading Economics; Knight Frank. Murivest analysis.

The pattern is clear. The real economy has been stronger than forecast, and the price of money has been higher. The Bank's explanation is that activity has been supported by AI-related investment and services, which account for just under a fifth of GDP growth since the start of the year.[2] It expects growth to slow in 2027 as higher inflation squeezes real household incomes, and consumer confidence already fell sharply in October.[2] For property, that mix of resilient demand today, tighter finance and a consumer squeeze ahead favours assets whose income does not depend on discretionary spending.

EXHIBIT 2

UK CPI inflation: where it has been and where the Bank expects it to go



Source: Office for National Statistics data and projections as published in the Bank of England Monetary Policy Report, November 2026.

The path of policy is the other half of the story. The median respondent to the Bank's November Market Participants Survey expected Bank Rate to reach 4.25% in February, and money markets have priced three further increases by November 2027.[2,3] The Bank itself says policy is not on a pre-set path, so we treat the next few meetings as live.[2]

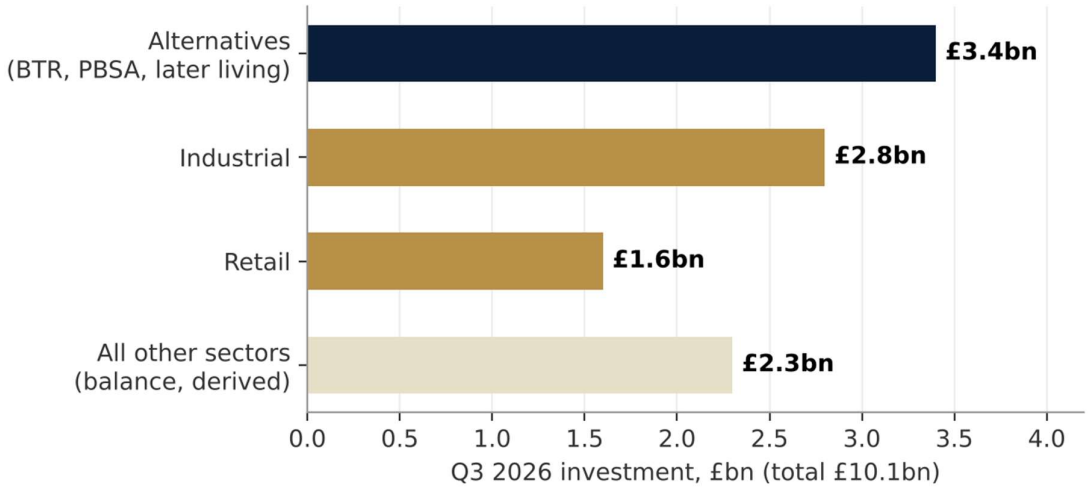
2. Capital is open, but it is choosing carefully

Investment volumes have stabilised rather than recovered. Carter Jonas recorded £10.1bn of UK commercial property investment in the third quarter, the fourth consecutive quarter above £10bn, 5% lower than Q2 and 3% higher than a year earlier. Colliers, on its own definitions, puts Q3 nearer £11bn and 13% below the five-year quarterly average.[5,6] CBRE's first-half total of £23bn was 8% below H1 2025.[1] The datasets differ in method, but they agree on direction: steady, below-trend activity.

The mix tells the story (Exhibit 3). Industrial investment rose 48% on the quarter to £2.8bn and retail 51% to just under £1.6bn, while alternatives, meaning build-to-rent, student housing and later living, remained the largest sector at about £3.4bn despite a 43% fall on Q2.[5] London took around a third of activity. Overseas investors committed £4.8bn, 48% of the total and below the 10-year average share of 51%.[5]

EXHIBIT 3

Q3 2026 UK commercial property investment by sector



Source: Carter Jonas Investment Quarterly Q3 2026, as reported by Estates Gazette and BE News. "All other sectors" is the balance of the £10.1bn total, derived by Murivest.

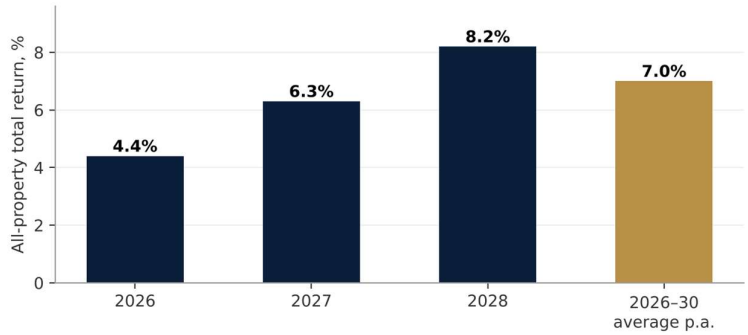
Returns are now income-led. CBRE's index showed an all-property total return of 2.5% in H1, of which 2.8% was income, which implies a small capital decline.[1] Colliers has cut its 2026 total-return forecast from 5% to 4.4%, expects capital values to fall 0.3% this year before rising 1.6% in 2027, and sees limited yield movement for several years.[6] Its forecast

builds to 6.3% in 2027 and 8.2% in 2028 (Exhibit 4), which is a rental-growth story rather than a yield-compression one.



EXHIBIT 4

All-property total return forecast



Source: Colliers UK Real Estate Investment Forecasts Q3 2026, as reported by BE News, 28 October 2026.

Dispersion is the second theme. In the first half, Outer London and M25 offices lost 4.8% in value while Central London offices were flat. CBRE expects prime buildings and core locations to keep outperforming because occupier demand is concentrated there and high construction costs are limiting new supply.[1] Higher gilt yields reinforce the divide: cash buyers can benchmark property against bonds yielding more than 5%, while debt-funded buyers face higher borrowing costs.[3,5]

Lenders have not yet reset either. CBRE's European Lender Intentions Survey, in which 31% of the sample was UK-based, found that 72% of respondents planned to increase originations

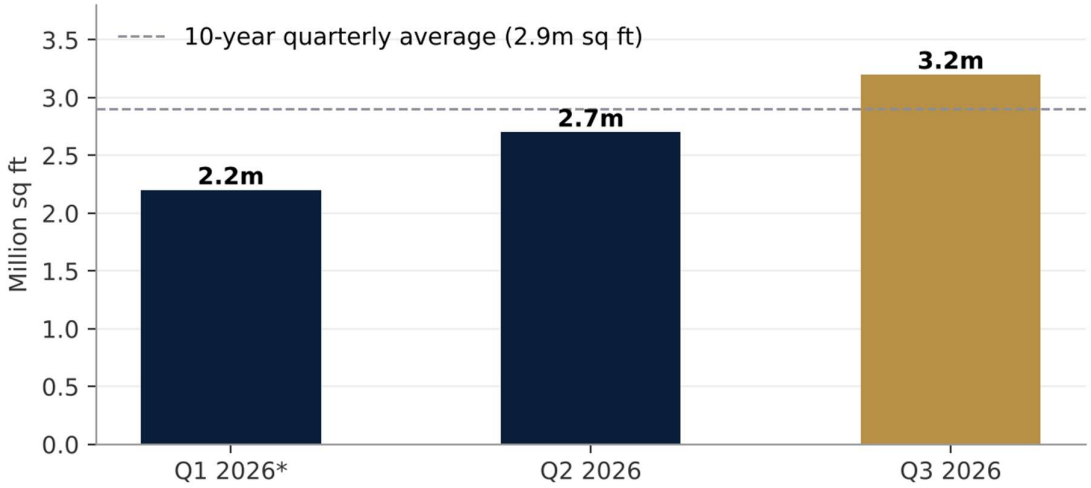
in 2026.[1] It was fielded after the conflict began but before the November rate rise, so we treat it as a ceiling on lending appetite rather than a forecast.

3. Occupiers: the good news, and where it is concentrated

Central London office take-up rose 19% in Q3 to 3.2m sq ft, 12% above the 10-year quarterly average. The year-to-date total of 8.1m sq ft is level with last year. Availability has fallen for four consecutive quarters to 19.5m sq ft, the lowest since 2020 and 21% below a year ago, and vacancy has dropped to 6.3% (Exhibit 5).[7]

EXHIBIT 5

Central London office take-up, 2026



*Source: CBRE Research, Central London Office Figures Q2 and Q3 2026. *Q1 is derived by Murivest as the year-to-date total of 8.1m sq ft less Q2 and Q3.*

Supply, not demand, is the binding constraint. CBRE finds that under-construction space is scarce relative to demand, that 47% of it in Central London is refurbishment rather than new-build, and that tender-price inflation is expected to rise to 3.5% in 2026.[1] Rents reflect the squeeze: in Q2, prime City rents reached £95 per sq ft (up 12% year on year) and Mayfair and St James's £200 (up 18%), while Birmingham and Manchester reached £52 and £48.[1]

> *Supply, not demand, is the binding constraint on UK prime space.*

AI occupiers are the new marginal tenant. CBRE tracked 0.7m sq ft of AI-related leasing in Central London in H1, more than twice the whole of 2025, with a further 289,750 sq ft of active requirements at the end of Q2.[1] CBRE also projects that AI-led take-up could reach 4m

sq ft by 2033, equivalent to around 43% of the pipeline now under construction or available to let.[13] The pattern extends beyond offices. AI firms are taking lab-enabled space in London, including Anthropic's 158,000 sq ft at 1 Triton Square and OpenAI's 85,000 sq ft at Jahn Court. Defence tenants are driving Cambridge and regional demand, and Golden Triangle science and innovation take-up reached 570,000 sq ft in H1.[1] The Bank of England's analysis is consistent with this: AI-related services and business investment have been among the main supports of UK growth in 2026.[2]

4. Sector scorecard

Our stance combines occupier fundamentals, supply, and sensitivity to a higher-for-longer rate path. It is a relative ranking for new capital, not a verdict on every asset in a sector, and it is Murivest's judgement rather than investment advice.

EXHIBIT 6

The Murivest sector view for Q4 2026

Sector	What the data says	Murivest stance	Q4 watchpoint
Offices	Central London take-up 3.2m sq ft in Q3; availability lowest since 2020; prime City rents £95 psf. Outer London/M25 values fell 4.8% in H1.[1,7]	**Overweight prime Central London and core regional cities. Underweight secondary.**	Temporary rise in the bank surcharge and its effect on City financial-sector demand.[4]
Logistics	Vacancy 7.13% at Q2; H1 completions about half of last year; 66% of the pipeline is build-to-suit.[1] Q3 investment £2.8bn, up 48% on the quarter.[5]	**Neutral to modest overweight. Modern, XXL and Midlands stock.**	Energy costs: the new electricity discount excludes logistics.[4]
Data centres	London take-up forecast at a record 212MW in 2026; vacancy forecast to fall to 5.5% from 8.6%.[1] Budget's Data Centre Covenant offers priority grid links.[4]	**Overweight. Power-secured sites only.**	Grid capacity, tech-equity volatility, and capital intensity favouring the best-funded.[3,4]

Sector	What the data says	Murivest stance	Q4 watchpoint
Retail	Oxford Street vacancy 0.4%; retail parks the only subsector with prime rents above pre-pandemic levels.[1] Q3 investment up 51%; Colliers sees retail leading returns to 2030.[5,6]	**Selective overweight. Retail parks and prime pitches.**	Real incomes, confidence, and the 3.9% minimum wage rise to £13.20.[2,4]
Living	CBRE forecasts £13.1bn of 2026 living investment (+4.1%); multifamily delivery to run 22% below average in 2027–28.[1] Mortgage approvals at their lowest since 2023.[2]	**Overweight stabilised BTR and SFH income. Cautious on forward funding.**	Rates versus development viability; Gateway 2 median approval of 22 weeks.[1]
Operational real estate	H1 hotel investment above £2.9bn (+119%); self-storage above £320m; healthcare consolidating. Pub margins under pressure.[1]	**Selective. London and prime regional hotels, healthcare, self-storage.**	Wage and energy costs; limited Budget relief for hospitality.[4]
Science and innovation	Golden Triangle take-up 570,000 sq ft in H1; Cambridge 153,000 sq ft. The expected recapitalisation has not materialised at scale.[1]	**Neutral. Core clusters; await price discovery.**	Stock reaching market; defence contracts after the 2027 Spending Review.[4]

5. The Budget: stability over stimulus

Chancellor Healey's first Budget on 28 October was designed to reassure bond markets, and it largely did: the 10-year gilt yield eased to about 5.3% on the day.[4] Fiscal headroom narrowed from £23.6bn to £15bn and the 2027 growth forecast was cut to 1.0%.[4] Knight Frank's verdict was targeted measures rather than stimulus. Five measures matter most to property:

- **Business rates.** The small-business threshold rises from £12,000 to £18,000 of rateable value, with more support for retail, hospitality and leisure. That helps small traders but does little for larger ratepayers or the wider high-street cost base.[4]
- **Devolution.** Mayors will receive a growing share of business rates from next year and a share of income tax from 2028, which gives local leaders a financial reason to back office, industrial and logistics development.[4]

- **Power and data centres.** The British Data Centre Covenant offers priority grid connections and on-site generation while waiting, tied to local jobs, community investment and water protection. A £2bn Energy Wealth Fund and faster grid connections target the power constraint.[4]
- **Operating costs.** The national minimum wage rises 3.9% (49p) to £13.20, the bank surcharge is raised temporarily, and the fuel-duty freeze continues.[4]
- **Housing.** The Your First Home scheme offers a 2.5% deposit route with price caps of £650,000 in inner London and £500,000 in outer London, which could support new-build sales in more affordable regions.[4]

The Bank of England estimates that the Budget's energy and fuel measures will trim CPI inflation by about a quarter of a percentage point in Q2 2027.[2] The larger signal, in our view, is one Knight Frank also makes: after years of waiting for rates and pricing to normalise, today's environment may be closer to normal than to a temporary aberration. If so, waiting for the cycle to do the work stops being a strategy.[4]

6. Three scenarios, not one forecast

In their Harvard Business Review framework, Courtney, Kirkland and Viguerie distinguish four levels of uncertainty. UK real estate today looks like a level-three problem: a range of possible futures, bounded by a few key variables, where the right response is a small set of scenarios rather than a point forecast.[9] A 25-year retrospective from Aarhus University's School of Management revisits the typology and treats its levels as a progression from conceptually simpler to harder uncertainty situations.[12]

The Bank of England has done much of the scenario work for us. Its November report pairs a central projection with an adverse-inflation scenario and a weaker-demand scenario.[2] We map each to property outcomes below.

EXHIBIT 7

Macro scenarios and what they mean for property

Scenario	What has to happen	Likely property outcome (Murivest reading)
Central: the energy shock fades	Inflation peaks near 5% around mid-2027, then falls. Bank Rate edges to about 4.25% by February. Gilt yields stay above 5%.[2,3]	Capital values broadly flat in 2026 (Colliers: −0.3%) and modestly higher in 2027 (+1.6%). Income and rent growth drive returns; prime outperforms.[6]

Scenario	What has to happen	Likely property outcome (Murivest reading)
Adverse inflation	Energy prices spike again and stay high; stronger second-round effects in pay and prices. The Bank's adverse case is reported to peak at 6.2% CPI in Q3 2027.[2,3]	Tighter policy for longer. Outward yield pressure on secondary and highly geared assets, and refinancing stress. Index-linked income and prime assets are relatively protected.
Weaker demand	Households and firms exhaust their buffers and demand weakens enough to prevent second-round effects; policy turns looser later in the horizon.[2]	Softer consumer-facing occupier demand and living sales. Rate relief eventually supports pricing. Supply-constrained, essential-income sectors hold up best.

Sources: Bank of England Monetary Policy Report, November 2026; Trading Economics; Colliers. Property outcomes are Murivest's interpretation.

What would change our mind. We would turn more constructive if a Middle East settlement lowered energy futures and the 10-year gilt yield held below 5%. We would turn more defensive if the Bank's initial estimate of 2027 pay settlements, due ahead of its December meeting, pointed to second-round effects, or if energy prices spiked again.[2]

7. The Murivest playbook

The same HBR article offers a practical vocabulary for acting under uncertainty: no-regrets moves, options and big bets.[9] We use it to sort our Q4 recommendations by how well they hold up across all three scenarios.

No-regrets moves: pay off in every scenario

- **Underwrite at today's cost of capital.** Stress-test every acquisition with the 10-year gilt above 5% and Bank Rate at or above 4.25%. If the deal only works with cuts, it is a bet on rates, not on real estate.
- **Buy income with inflation protection.** Prefer short rent reviews, index-linked leases and assets where rental growth is supported by constrained supply.[1]
- **Prime over secondary.** CBRE sees the outlook for older secondary stock as challenging, especially in regional markets, unless redevelopment or a change of use is viable.[1] Back secondary only with a funded repositioning plan.
- **Fix financing early.** With markets pricing further rises, extend hedging and agree terms before the December meeting rather than after it.[3]

Options: cheap to hold, valuable if conditions change

- **Forward-funding and development options in living.** Viability is marginal at current rates. Joint-venture, refurbishment and value-add structures offer a lower-cost way in, and CBRE notes these are already becoming the entry route to prime core.[1]
- **Powered land near London.** Land with power is increasingly scarce, and operators are moving to sites around the M25 where capacity exists.[1]
- **Regional offices with a devolution catalyst.** Business-rates retention could eventually support regional office development, but demand is concentrating on the best space, so we would hold options rather than commit capital now.[4]

Big bets: high conviction, sized carefully

- **Prime Central London offices.** Availability is at its lowest since 2020, rents are rising, and AI occupiers are the new source of demand.[7,1]
- **Power-secured data centre capacity.** McKinsey estimates that data centres worldwide will need around $6.7 trillion of investment by 2030, of which $5.2 trillion is for AI workloads, with global capacity demand nearly tripling.[8] McKinsey stresses that this depends on AI delivering real-world value, so we size this position for the possibility that demand disappoints, and we insist on secured power.
- **Prime retail parks and central London retail.** Vacancy is at record lows in the best pitches and Colliers sees retail leading five-year returns.[1,6] Consumer weakness is the risk, so we favour value-led, convenience-led formats.

These themes also line up with the structural forces that Oxford Saïd's Future of Real Estate Initiative identifies: technology, climate imperatives and regulation.[10] This quarter showed all three at work. AI is reshaping demand, grid policy is determining which data centres get built, and regulation such as the Renters' Rights Act and Building Safety Regulator reforms is shaping living-sector supply.[1,4]

SIDEBAR · A NOTE ON INVESTOR COMMUNICATION

In 2012, MarketingSherpa surveyed 1,745 B2B marketers and found that clarity was the top-rated tactic for building a value proposition that converts; 69% of firms had one defined.[11] The research is dated and comes from marketing practice rather than real estate, but the lesson travels. In a noisy, rate-driven market, investors reward a clear and testable thesis. We encourage every investment case to state three things in plain terms: what the income is, why it is scarce, and what would have to be true for the investment to fail.

What we are watching in Q4 and early 2027

When	Event	Why it matters
17 November	ONS quarterly productivity release using its new method	Tests whether AI is lifting UK productivity or the strength is cyclical.[2]
December	Bank of England Agents' initial estimate of 2027 pay settlements	The Bank's clearest read on second-round effects.[2]
17 December	Next Monetary Policy Committee decision	Whether the Bank follows November's rise with another.[3]
Q1 2027	Ofgem price cap expected to rise to around £2,150	Feeds directly into inflation and consumer real incomes.[2]
February 2027	Monetary Policy Committee decision	Market-participant median expects Bank Rate at 4.25%.[2]

Conclusion

The UK market enters the final quarter with an unusual combination: resilient tenants, scarce prime space, and the highest cost of money in years. That favours disciplined investors over patient ones. The gains in this cycle will not come from yield compression or a rescue from lower rates. They will come from buying scarce, well-located, income-producing real estate at a price that works today, financing it prudently, and holding a few well-chosen options for the day conditions improve.

We will update this view after the December Monetary Policy Committee meeting.

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Data notes. Figures are as published by the sources cited, at 8 November 2026, and may be revised. Different providers define investment volumes and sectors differently, so Q3 totals are not directly comparable. Where Murivest has derived a number, the exhibit says so.

ABOUT THE MURIVEST VIEW

The Murivest View is Murivest's market outlook series. Each edition combines published research from leading industry and academic sources with Murivest's own analysis, to help investors make clearer decisions.

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